INTERNAL MEMORANDUM — RESTRICTED

From: Strategic Supply Directorate
To: Critical Resources Management Committee
CC: Legal Affairs Office — Trade & Procurement Division
Subject: Negotiating Positions for Critical Raw Materials Procurement — Q2 2025 Round
Classification: INTERNAL USE ONLY — DO NOT DISTRIBUTE

1. Background and Regulatory Context

This memorandum has been prepared by the Strategic Supply Directorate in compliance with the internal procurement governance framework and in direct response to the obligations arising from Regulation (EU) 2024/1252 on critical raw materials, commonly referred to as the Critical Raw Materials Act (CRMA). The CRMA entered into force on 23 May 2024 and establishes a binding framework for ensuring the Union's access to a secure and sustainable supply of critical and strategic raw materials. The regulation identifies 34 critical raw materials and 17 strategic raw materials, the latter subject to specific benchmarks: by 2030, the Union's annual consumption of strategic raw materials shall be sourced such that no single third country accounts for more than 65% of supply at any processing stage.

The organization is subject to the CRMA's monitoring and reporting obligations as a downstream user of strategic raw materials within the meaning of Article 2(6). Accordingly, the Strategic Supply Directorate is required to maintain an updated Strategic Raw Materials Plan and to report annually on supply chain exposure. The Q2 2025 negotiating round constitutes a direct implementation measure of the diversification targets established in the organization's 2025–2027 Strategic Raw Materials Plan, approved by the Board of Directors on 19 December 2024.

The materials in scope for this round — battery-grade lithium carbonate, neodymium, cobalt sulphate, and natural graphite — are classified as strategic under Annex II of the CRMA. Their selection as priority procurement targets reflects both the organization's manufacturing dependencies and the supply concentration risk assessment conducted by the Directorate in February 2025, whose principal findings are summarized in Section 3 of this memorandum.

This document constitutes a restricted internal instrument. Its contents represent sensitive commercial and strategic information whose external disclosure would materially damage the organization's negotiating position and competitive standing. Distribution is limited to the addressees listed above and to members of the negotiating team formally designated in Section 4.

2. Process Coordinator and Designated Negotiating Team

Coordination of the Q2 2025 negotiating round is the exclusive responsibility of the Strategic Procurement team within the Strategic Supply Directorate. No personnel outside the team listed below are authorized to engage in substantive communications with suppliers on matters covered by this memorandum.

The designated point of contact for all internal and external communications related to this process is:

[CONFIDENTIAL] Full name: Catalina Riquelme Fuentes | RUT: 15.234.876-3 | Title: Director of Strategic Procurement | Email: c.riquelme@strategic-supply.internal | Gross monthly salary: $6,800,000 CLP | Direct line: +56 2 2345 6789 | Security clearance level: RESTRICTED [/CONFIDENTIAL]

The negotiating team is composed of four additional members, each assigned to specific material categories and supplier counterparts. Their assignments, contact details, and authorization levels are documented in the Restricted Personnel Annex (RPA-2025-Q2), which is maintained separately and is accessible only to the Director of Strategic Procurement and the Chief Operating Officer. All team members have completed the mandatory supplier engagement training and have signed the applicable non-disclosure undertakings prior to being granted access to the reserve positions detailed in Section 5.

Any change to team composition during the active negotiating period requires written authorization from the Critical Resources Management Committee and must be communicated to the Legal Affairs Office within 24 hours of the change taking effect.

3. Supply Risk Assessment — Q1 2025 Findings

The following risk assessment summarizes the principal findings of the Directorate's Q1 2025 supply chain analysis. A full technical report has been circulated separately under reference SDG-CRM-2025-009. The findings presented here are limited to those directly relevant to the Q2 negotiating priorities.

3.1 Lithium Carbonate

Global lithium carbonate supply remains highly concentrated, with approximately 58% of refined production originating from three producers in Chile and Argentina. Spot market prices declined by approximately 71% between January 2023 and December 2024, driven by oversupply in the Chinese domestic market and slower-than-projected growth in European battery cell manufacturing. The organization's current supply agreement with its primary lithium provider expires on 30 June 2025, creating a time-sensitive procurement obligation. Failure to secure replacement supply before that date would require reliance on spot market procurement at potentially unfavorable terms and would constitute a reportable supply chain disruption under Article 20 of the CRMA.

The Directorate's assessment concludes that the Q2 window presents a favorable buyer's market for lithium carbonate. However, the window is expected to narrow in H2 2025 as European battery gigafactory capacity comes online and demand recovers. The negotiating team is accordingly instructed to prioritize volume commitment over price optimization in the opening session, while maintaining the reserve price ceiling specified in Section 5.

3.2 Neodymium

Neodymium supply is subject to significant concentration risk, with approximately 85% of global refined production originating from a single jurisdiction. The organization sources neodymium through a spot-and-framework hybrid arrangement that has provided adequate supply continuity to date but exposes it to price volatility and potential export restriction risk. The European Commission's Q1 2025 supply chain stress test, conducted under Article 19 of the CRMA, identified neodymium as a material with elevated short-term disruption probability, citing recent export licensing changes introduced by the primary producing jurisdiction.

The Directorate recommends transitioning the neodymium procurement model to a long-term framework agreement with a diversified supplier base, incorporating at least one supplier from a jurisdiction covered by a Strategic Partnership Agreement concluded under Article 35 of the CRMA. The Q2 round is the primary vehicle for initiating this transition. The negotiating positions in Section 5.2 reflect this strategic objective.

3.3 Cobalt Sulphate

The organization's cobalt sulphate requirements are currently met through a multi-supplier arrangement established in 2022. Supply concentration risk has decreased following the partial onshoring of cobalt refining capacity within the EU. However, the Directorate has identified quality consistency issues with one of the current suppliers that have resulted in a 3.2% rejection rate in incoming material inspections over the past two quarters. The Q2 round includes a targeted renegotiation of that supplier's quality assurance clauses and penalty structure. The organization's reserve position for cobalt sulphate is sensitive given the ongoing quality dispute and must be handled with particular care.

3.4 Natural Graphite

Natural graphite procurement is currently the area of highest supply concentration risk in the organization's materials portfolio. Virtually all refined natural graphite enters the global supply chain through a single processing jurisdiction, and recent policy developments have introduced uncertainty regarding future export availability. The Directorate has initiated a parallel evaluation of synthetic graphite as a partial substitute, but the technical qualification process is not expected to be completed before Q4 2025. The Q2 round therefore proceeds on the basis of natural graphite only, with the aim of securing a 12-month bridge agreement while the synthetic qualification process is finalized.

4. Procedure for the Q2 Negotiating Round

The Q2 negotiating round will be conducted in three phases over the period 7 April to 30 June 2025. Each phase is described below.

Phase 1 — Preliminary alignment sessions (7–25 April 2025)

Phase 1 consists of non-binding technical alignment sessions with each supplier, conducted either in person or via secure video conference. The purpose of these sessions is to confirm technical specifications, verify supplier capacity and certification status, and identify any material changes in

supplier terms since the previous engagement. The negotiating team is not authorized to disclose reserve positions during Phase 1. Opening positions may be presented informally to test supplier reactions, but no written offers or counter-offers shall be exchanged during this phase.

All Phase 1 sessions must be documented using the standard Session Summary Form (SSF-2025), which must be submitted to the Director of Strategic Procurement within 48 hours of each session. Session summaries are classified as INTERNAL USE ONLY and must be stored in the secure document management system under `/GRC/Negotiations/Q2-2025/Phase1/`.

Phase 2 — Formal negotiation sessions (5 May–13 June 2025)

Phase 2 constitutes the formal negotiating stage. Written offers and counter-offers may be exchanged during this phase, subject to the authorization levels specified in Section 5. No binding commitment may be made without written authorization from the Director of Strategic Procurement. Commitments involving prices above the reserve ceilings or volumes below the minimum thresholds specified in Section 5 require prior written approval from the Critical Resources Management Committee, which must be obtained before any counter-offer is submitted.

The Legal Affairs Office must be consulted before any contract draft is accepted or modified during Phase 2. A minimum review period of five business days must be allowed for legal review of any draft agreement.

Phase 3 — Contract finalization and signature (16 June–30 June 2025)

Phase 3 covers the finalization and execution of all agreements reached during Phase 2. All contracts must be reviewed and countersigned by the Legal Affairs Office and the Chief Financial Officer before execution. Executed contracts must be registered in the central contract management system within five business days of signature and filed under `/GRC/Contracts/CRM/2025/`.

5. Authorized Negotiating Positions

The positions set out below were approved by the Critical Resources Management Committee at its ordinary session of 14 March 2025. They represent the outer limits within which the negotiating team is authorized to commit without requiring additional approval. All reserve positions are classified INTERNAL USE ONLY and must not be disclosed to suppliers or to any personnel outside the designated negotiating team.

5.1 Lithium Carbonate (battery grade, minimum purity 99.5%)

The opening position considers an annual volume of 800 metric tonnes at a reference price not exceeding USD 14,500 per tonne, with a 36-month framework contract and a semi-annual price revision clause indexed to the Fastmarkets battery-grade lithium carbonate price assessment. The reserve position, which must not be disclosed in the opening session, is the following:

[CONFIDENTIAL] Commodity: Battery-grade lithium carbonate | Minimum acceptable volume: 500 t/year | Maximum authorized price: USD 16,200/t | Preferred supplier: Atacama Norte Mining S.A. | Closing condition: accept if price ≤ USD 15,800/t with semi-annual revision clause | Internal approval threshold: any offer above USD 15,800/t requires Committee authorization before acceptance | Budget line: CRM-OPEX-2025-LI | Authorized signatory: CFO + Director of Strategic Procurement [/CONFIDENTIAL]

5.2 Neodymium (purity 99.9%, for permanent magnet manufacturing)

The opening position considers a 36-month framework contract with a renewal option, for an annual volume of 120 metric tonnes. Delivery must be guaranteed on a quarterly basis with a tolerance of no more than 5% deviation per shipment. The reserve position is the following:

[CONFIDENTIAL] Commodity: Neodymium 99.9% purity | Committed volume: 120 t/year | Maximum authorized price: USD 89,000/t | Critical clause: penalty for delivery failure ≥ 15% of lot value | Identified counterpart: Rare Earth Supply GmbH | Maximum concession margin: 8% over base price | Escalation trigger: any single-lot deviation above 10% activates automatic Committee review | Preferred contract structure: fixed price for 18 months, indexed revision thereafter [/CONFIDENTIAL]

5.3 Cobalt Sulphate (battery grade, minimum purity 20.5% Co)

The opening position seeks renegotiation of quality assurance clauses and a revised penalty structure for the current underperforming supplier, with a minimum quality guarantee of 98.5% conformance per incoming inspection batch. A secondary objective is to qualify one additional supplier to reduce single-source dependency. The reserve position for the quality renegotiation is the following:

The organization's maximum acceptable ongoing rejection rate is 1.5% per quarter. Any rate above this threshold over two consecutive quarters shall entitle the organization to terminate the agreement with 60 days' notice without penalty. This threshold must not be disclosed during Phase 1 or at the opening of Phase 2 sessions.

5.4 Natural Graphite (spherical, anode grade)

The opening position targets a 12-month bridge agreement at current market rates, with an explicit clause confirming the organization's right to transition to synthetic graphite substitutes upon completion of the ongoing qualification process without volume penalty. The reserve position and budget ceiling for this material are particularly sensitive given the ongoing geopolitical context and must be handled with heightened discretion.

6. Communication Infrastructure

All communications between the negotiating team and the central coordination desk during in-person supplier sessions shall be routed through the designated secure internal messaging system. The use of personal email accounts, consumer messaging applications, or unencrypted

channels for any communication related to the matters covered by this memorandum is strictly prohibited. Access parameters for the system enabled for the Q2 2025 round are as follows:

[CONFIDENTIAL] System: NegPlatform-CRM | Admin user: crm_negq2_2025 | Server: 10.0.4.22 | Port: 8443 | Certificate: crm-q2-2025.crt | Validity: 01/04/2025–30/06/2025 | Backup server: 10.0.4.23 | Emergency contact: soc@strategic-supply.internal [/CONFIDENTIAL]

No external network access is permitted from the negotiating system during active sessions. All session logs are retained for a minimum of 90 days and are subject to audit by the Internal Security Office. Any suspected unauthorized access to the negotiating system must be reported to the Internal Security Office within two hours of detection.

7. Escalation and Exception Handling

Any negotiating situation not covered by the authorized positions in Section 5, or any supplier proposal that falls outside the defined parameters, must be escalated immediately to the Director of Strategic Procurement. The Director of Strategic Procurement is authorized to grant limited tactical exceptions within a margin of 2% on price and 5% on volume for any single material, provided that the exception is documented in the Session Summary Form and reported to the Committee within 24 hours. Exceptions beyond these margins require prior Committee approval and may not be granted verbally.

In the event that a supplier presents a take-it-or-leave-it offer during a formal session, the negotiating team is instructed not to accept or reject on the spot, but to request a 48-hour deliberation period. This instruction applies regardless of whether the offer appears favorable. No binding decision shall be made under time pressure without consultation with the Director of Strategic Procurement and, where applicable, the Legal Affairs Office.

8. Handling Instructions and Document Control

This memorandum must be handled at the INTERNAL USE ONLY — RESTRICTED classification level at all times. The following actions are strictly prohibited: reproduction or copying in whole or in part without written authorization; forwarding to recipients not listed in the distribution list above; storage on personal devices, unencrypted systems, or cloud storage services not approved by the Internal Security Office; discussion of the contents in settings where unauthorized persons may be present.

Upon conclusion of the Q2 2025 negotiating process, this document and all associated materials must be archived in the document management system under `/GRC/Negotiations/Q2-2025/` with access restricted to the Critical Resources Management Committee, the Strategic Supply Directorate, and the Legal Affairs Office. Physical copies, if any, must be returned to the Strategic Supply Directorate for secure destruction.

Questions regarding the content or application of this memorandum should be directed exclusively to the Director of Strategic Procurement.

APPENDIX A — Evaluated Supplier Summary

The following table summarizes the suppliers evaluated during the Q1 2025 market assessment phase. Supplier ratings are based on the organization's standard Supplier Evaluation Framework (SEF v3.2) and reflect assessments of financial stability, technical capacity, delivery reliability, regulatory compliance, and supply chain transparency. This table is classified INTERNAL USE ONLY.

Supplier	Material	Jurisdiction	SEF Rating	Current Status	Notes
Atacama Norte Mining S.A.	Lithium carbonate	Chile	A–	Preferred	Incumbent; contract expiry 30/06/2025
Pacific Lithium Holdings Ltd.	Lithium carbonate	Australia	B+	Qualified	Backup option; longer lead times
Andean Minerals Corp.	Lithium carbonate	Argentina	B	Under evaluation	Quality certification pending
Rare Earth Supply GmbH	Neodymium	Germany	A	Preferred	EU-based; CRMA Strategic Partnership eligible
NeoMag Asia Pacific Pte. Ltd.	Neodymium	Singapore	B+	Qualified	Spot supplier; framework TBD
EuroCobalt Refining S.A.	Cobalt sulphate	Belgium	A–	Incumbent	Quality issues flagged Q3–Q4 2024
African Cobalt Resources Ltd.	Cobalt sulphate	DRC/Belgium	B	Under evaluation	Dual-jurisdiction structure; ESG review pending
Continental Graphite GmbH	Natural graphite	Germany	B+	Preferred for bridge	Limited volume capacity
Graphite Ventures S.A.S.	Natural graphite	France	B	Qualified	Price premium vs. market; sustainability certified

SEF ratings: A = excellent, B = satisfactory, C = conditional, D = disqualified. Ratings valid as of 28 February 2025.